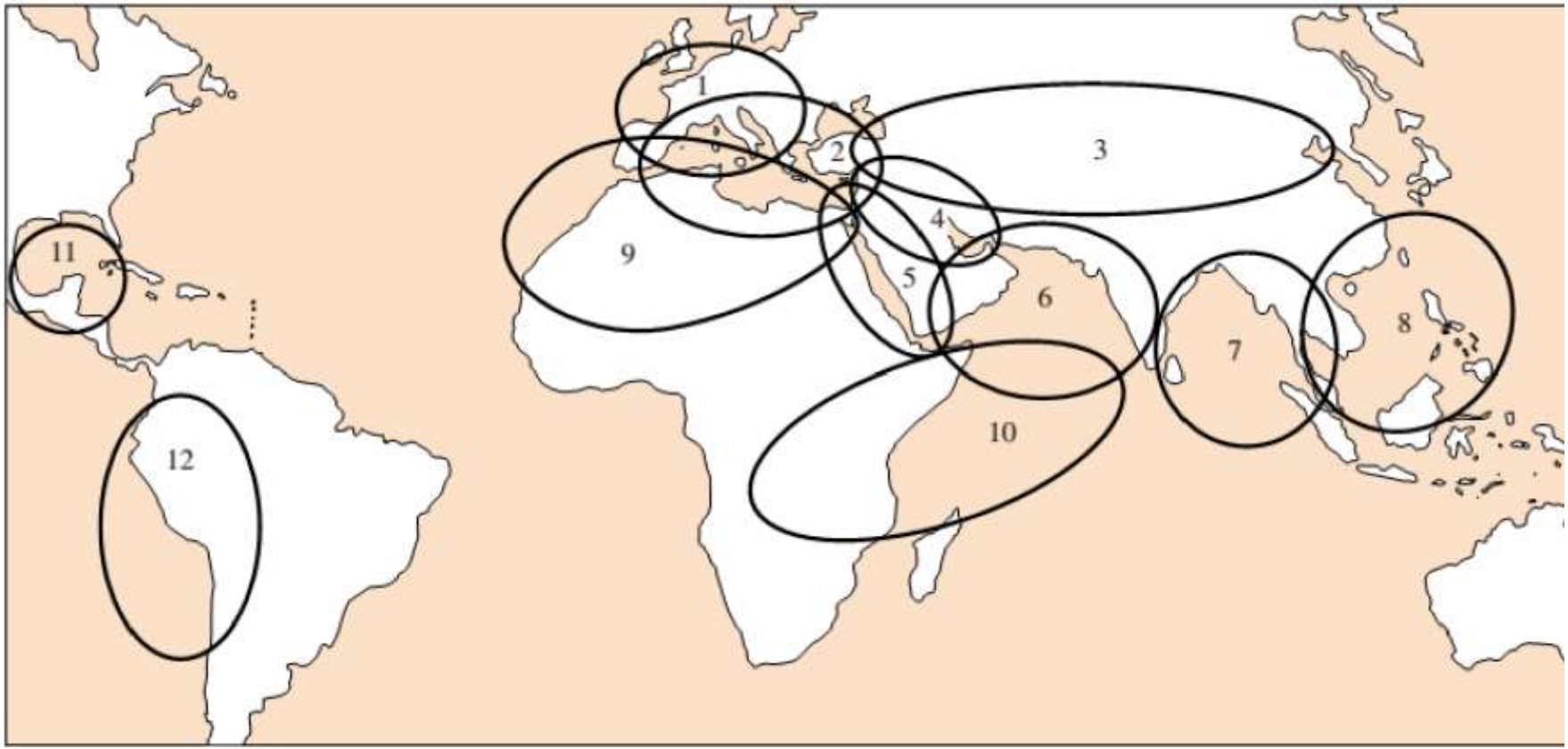
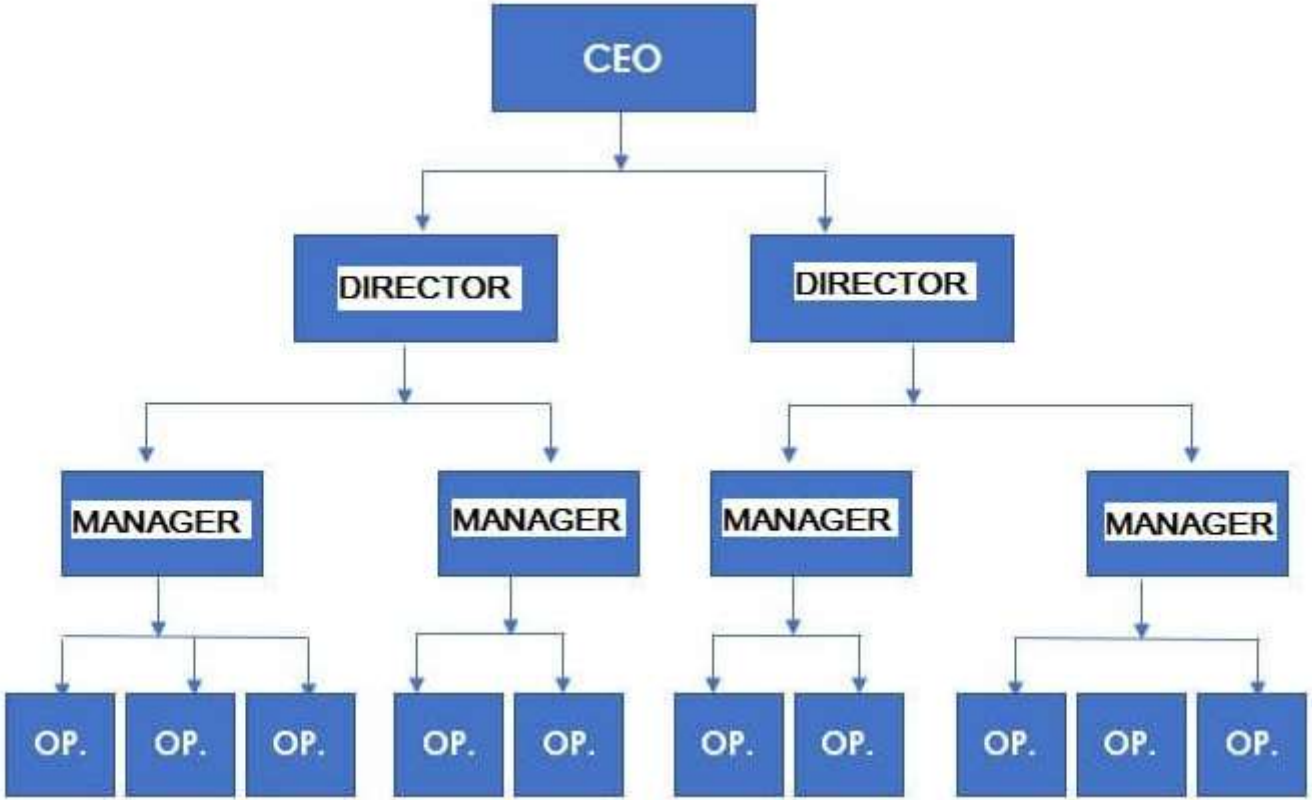
Doing business in Europe
PART 2

International Management of companies 2022-23



International Management of companies
2022-23



What is internationalization of firms?

- 1 Internationalization consists in developing the operation of its portfolio of activities abroad

- 2 The choice of internationalization is not planned, but it is the progressive consequence of the search for new markets.

- 3 It is a strategy with multiple facets and the progressive development of the company leading **to cultural and structural changes.**

The “Key words” of Project Management

- The “you musts” and “you should”
  - Defining, organizing, planning, executing, monitoring, finishing
  - Purpose, scope, estimating, budgeting, deadlines
  - Work breakdowns, dependencies, key resources
  - Scheduling
  - Reporting, adjustments

Three Traditional Levers of Project Management

Scope

Adjust what is included in the project

Resources

Adjust who is working on a project

Schedule

Adjust target completion target

1 Scope

- Adjust what is included in the project

Selecting Markets - GDP and Population

- GDP and population growth:
  - Higher GDP per capita and higher forecast GDP growth indicate higher market attractiveness.
  - Price level and costs are lower in countries with lower GDP per capita.
- Market characteristics:
  - Country Risk impacts the probability of a major political crisis occurring.
  - Trade Barriers impact the cost attractiveness of global sourcing.
  - Industry rivalry impacts the profitability, price sensitivity of consumers and importance of promotion.

Traditional Project Management & INTZ of firms

PREPARATIONS FOR THE PROJECT

PLANNING THE PROJECT (TRADITIONAL PM FOCUS)

MANAGING THE PROJECT

WE'LL CONSIDER THESE IN OUTLINE, WITH MOST OF OUR ….

2 Resources

- Adjust who is working on a project

Creating a Project Organization

- **Define who is going to do what**
  - Define roles and responsibilities
  - Identify people and resources, ensure their commitment to the project
  - Identify a project leader, specify their authority and responsibilities
- **Important questions:**
  - Who is the project manager? What decisions are within the PM's area of authority? Is this authority sufficient to carry out the project?
  - Who is on the team? Fulltime or part-time? What are their areas of expertise? Their roles?
  - Who is the project sponsor? Are they at a sufficiently high level in the organization to provide the project with the support it needs to have a good chance of success?

- Create your own organization. 5 departments, finance, marketing, accounting, production … . 20 employees

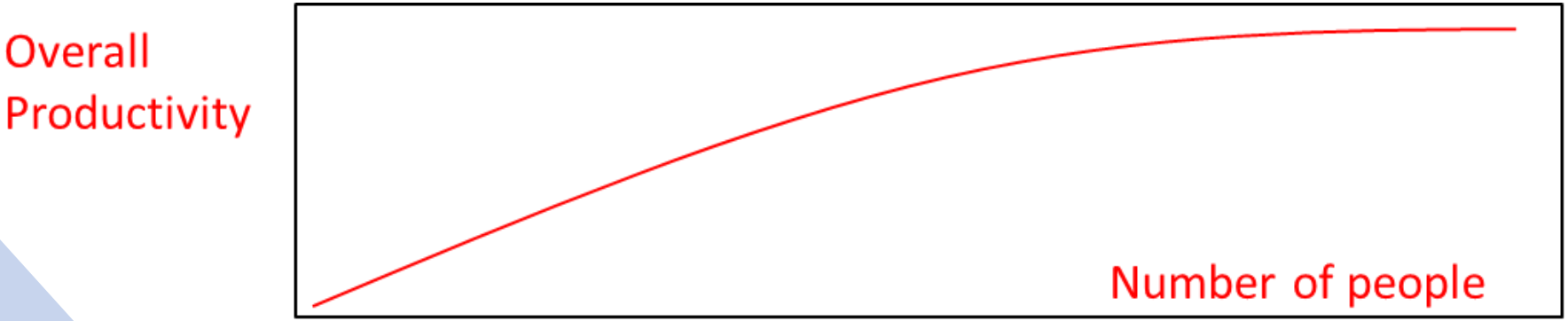
The Work Breakdown Structure

- Need to identify all of the work required by a project
  - Identify tasks and subtasks
  - Assign owners for each task
  - Estimate how long each task will take
- Important questions:
  - Are all tasks identified?
  - Do all tasks have owners?
  - How long will it take to do each task?

Example of a Work Breakdown Structure

“Brooks’s Law”

- The more people work on a project, the more overhead required to coordinate work (and the less spent on value-adding work)
- A very common problem: some resources are over allocated while others are under allocated
- People working on some tasks are overwhelmed, while others have nothing much to do

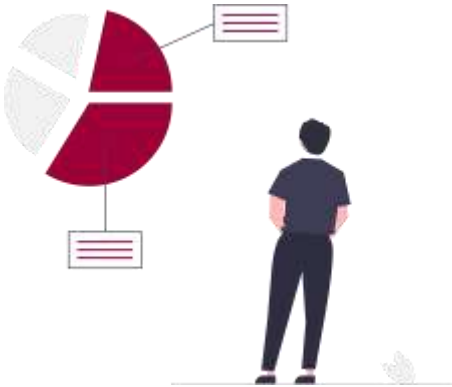


3 Schedule

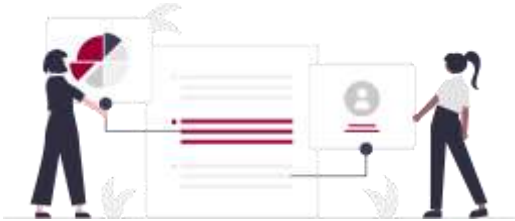
- Adjust target completion target

What does the Internationalization schedule consist of?

1. Internal SWOT analysis of the **company's current situation and international potential**.
2. External SWOT analysis of the **target market situation**, economy, competitors.
3. Target market selection→ **TOOL**
4. Necessary **changes** in the company to reach that market.
5. **Action plan** on these markets.



Steps for analysis of the company



Internal SWOT Analysis

External SWOT Analysis

Target market selection

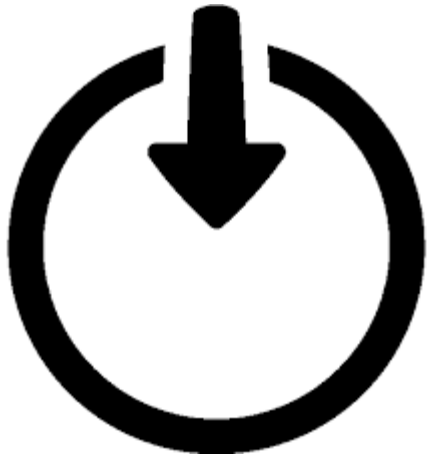
Changes to reach the market

Action Plan

Internal SWOT Analysis

Strenght / Weakness

CAPABILITIES	S	W
Geographical location of the company		✓
Financial resources for investment abroad	✓	
Knowledge of foreign markets		✓
International experience of personnel	✓	
Level communication systems,		
Networking in the target market		
Language level		
Brand image		
Production capacity		
Decision-making process		



External SWOT Analysis

Opportunity / Threat

FACTORS	O	T
Barriers to my product abroad (tariffs)		✓
Free trade agreements between countries	✓	
Level of internet usage in target market	✓	
Ease of transport and logistics	✓	
Emerging markets as consumers		
Cultural habits of consumers		
Maturity of the internal market		
Level of institutional transparency at destination		
Competitors in the sector		

Target Market Selection

- Market selection alternatives
- **Concentration** or **Diversification**
- Preferred geographic areas: **which best suits** your product/service, logistics, employee culture.
- Method for choosing the country – **TOOL**

Changes in the company in order to reach the new market

- ✓ Selection of **personnel with aptitudes**:
  - Adaptation to changes
  - Personal and professional situation
  - Studies, language level
  - Interest for the mission outside the country of origin

- ✓ New processes in **finance for international invoicing and collections**.
- ✓ **Personalized attention**, **<u>training</u>** and follow-up for international employees.

Action plan on these markets

- Financial / Commercial and Marketing **Plans**.
- Defined, **realistic and measurable goals**. SMART.
- **Actions with dates** / deadlines.
- Departments or persons **responsible for each action**.
- **Resources** needed to complete the actions.
- **Diagram**: Create a simple document with tasks and responsible persons for your team to visualize

DIAGRAM of the Action Plan

For all departments

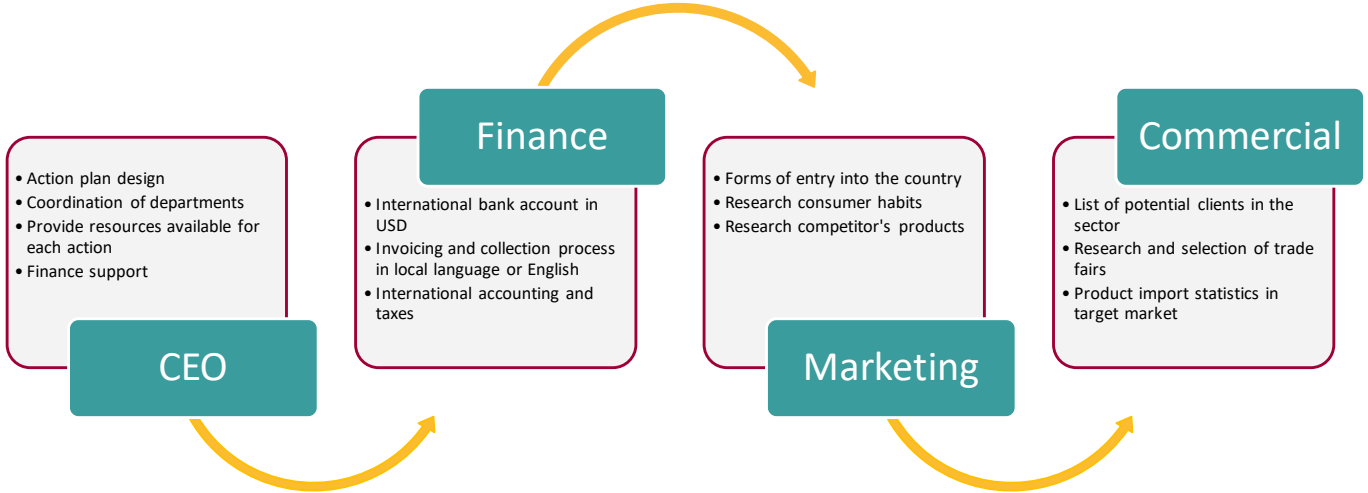
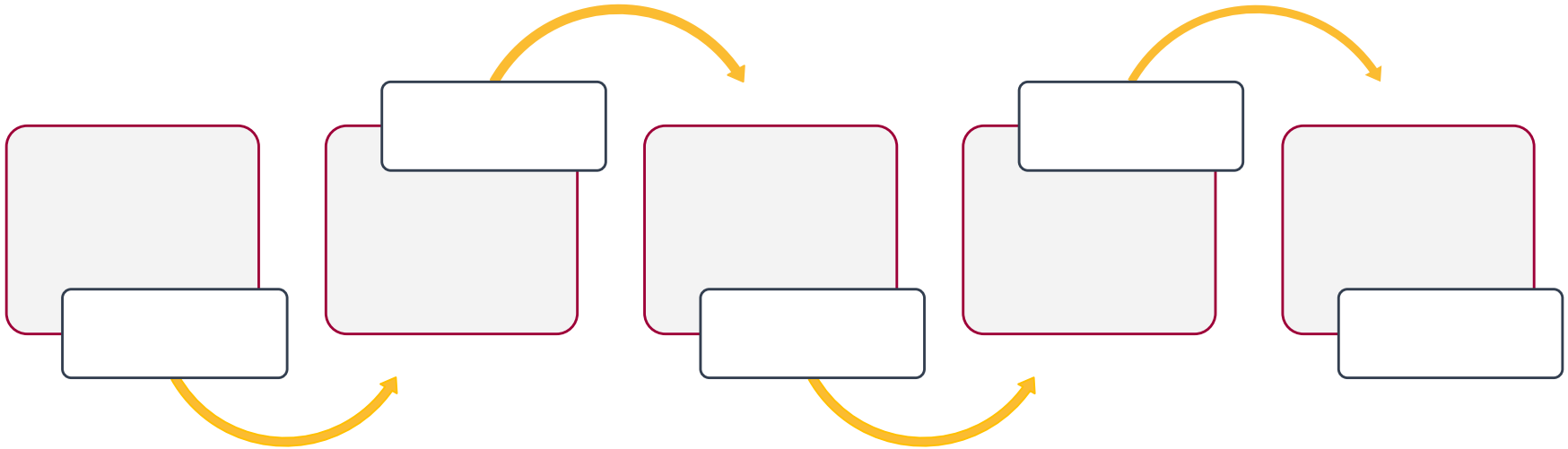


DIAGRAM of the Action Plan



Assumptions :

- The international management of human resources has been one of the first challenges of any company wishing to work and develop activity in other regions.

- Traditionally, exporting has always been an undeniable way to increase turnover and profits.

- Intercultural conflicts, intercultural competencies, and management of interculturalism, are topics multinational or small companies did not face decades ago.

- Key words: Globalization, interculturalism, internationalization, competencies, expatriation, risk, failure, cooperation, management, explain ….

Local	Activities	Global
	Logistics	X

TREND IS YOUR FRIEND

The Global/Local grid and the identification of the **potential** for internationalization of activities.

The G/L grid makes it possible to highlight the intensity with which local adaptation forces are exerted, which are those that drive the geo-centralization of an activity. And the intensity with which global adaptation forces are exerted; i.e. those that **push** for the internationalization of an activity.

The Global/Local activities and the identification of the potential for internationalization of activities

Inside companies and when an activity such as the **forces of globalization** play a **strong role** and the **forces of localization** play a **weak role**, we are in the presence of an activity with global dominance.

On the other hand, when the **forces of globalization** play a **limited role**, and local adaptation forces are **strongly exerted**, then we are in an activity that is predominantly local.

Between these two extremes, there are **mixed activities**, i.e. **global-local activities**.

III Stages of the internationalization process.

- Firms tend to move through three phases of export development:
  - *1 pre-engagement (international project efficiency)*
  - *2 initial exporting* (impact on international customer)
  - *3 advanced exporting (international business success)*

As they do so, firms tend to:

- export to a greater number of countries
- extend their markets to more distant countries
- move into environments that are increasingly different from those of their home countries
- expect exports to grow as a percent of total sales

IV Models of internationalized companies.

The Principles and Practice of Centralization and Decentralization

CENTRALIZATION	DECENTRALIZATION
Decisions should be made by senior managers.	Decisions should be made by lower-level employees.
The effectiveness of the value chain depends on headqtrs.'managers' authority	The effectiveness of the value chain depends on local retaining authority.

VI Classification of countries facing the phenomenon of internationalization

If we think at the level of States, are they all equal in the phenomena of globalization? It should be noted that the most economically developed countries are also those with high rates of internationalization and foreign ownership. The opening of borders has created new opportunities, so the race is on to increase its growth and widen its fields and sectors of activity as much as possible.